

SANJAYBHAI SAVALIYA, a Surat-based textile manufacturer, has been selling on home-grown e-commerce platform Meesho since 2019. He's retailed his merchandise on Amazon and Flipkart, too. But in the past two years, Meesho has come to be his preferred platform. Savaliya says Meesho's zero-commission policy attracted him to the online marketplace at a time when Amazon's and Flipkart's 17-18 per cent platform fees were eating into his margins. Besides, a Meesho listing ensures he starts receiving orders within a day or two; on Flipkart and Amazon, it takes 15-20 days.

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Savaliya dispatches more than 1,000 orders a day, and earns an average of ₹300 per order. In three years, he's also earned the label of a 'bronze seller' on Meesho by clocking annual sales of ₹5-6 crore through his multiple seller accounts—without ever advertising on the platform. But things are changing. As Meesho ramps up its seller monetisation efforts, people like Savaliya will have to shell out more money to continuously appear on top of its home page as well as get their prod-

ucts displayed to the most relevant customers. Meesho recently notified sellers that it will now charge them a nominal fee per order in exchange for quicker payouts—within 24 hours instead of its usual seven days.

While this is a new stream of monetisation that Meesho has embarked upon, given its rising expenses and ballooning losses (more on that later), sellers aren't too excited. "*Saat din rukne se kuch nahi ho jayega. Kyun hum extra paisa bhare?* (Nothing will change in seven days, so why should we pay extra?)," says Savaliya.

The impact of this new seller policy is yet to play out, but what is amply clear is Meesho's hunt for monetisation. Although it continues to be a zero-commission platform for its 825,000 registered sellers, it has now become imperative for the Bengaluru-based seven-year-old e-commerce firm to pave a path to profitability. Especially after a brutal 2022 that was defined by a prolonged funding winter and mass layoffs at start-ups.

Meesho, too, laid off employees as it scaled down its grocery division (Farmiso) to cut costs. While the official number of layoffs is pegged at 150, company insiders say at least two more rounds of firings took place in 2022, which saw Meesho's large HR team trimmed significantly. "Some product and engineering people were also asked to leave," a person told *BT* on condition of anonymity.

Meesho, however, denies laying off any people besides those in the grocery division. "Our business restructuring cost folks in the grocery unit their jobs. But those were restructuring exits and not layoffs to save costs," says CHRO Ashish Kumar Singh.

Nonetheless, in the absence of free-flowing venture capital (VC) and given the tough macroeconomic environment, unicorns like Meesho are compelled to arrive at a clear path to profitability and a sustainable growth

“WE RAISED A SUBSTANTIAL AMOUNT OF MONEY IN 2021, MUCH MORE THAN NEEDED... AND CAN KEEP RUNNING THE BUSINESS IN A VERY HEALTHY MANNER FOR MANY YEARS. THERE IS A GOOD LIKELIHOOD THAT OUR NEXT ROUND WOULD BE AN IPO”

VIDIT AATREY CO-FOUNDER AND CEO, MEESHO

“OUR VALUE PROPOSITION IS AROUND TWO THINGS—LOWEST PRICES AND WIDE SELECTION. THESE BECAME SO STRONG THAT WE HAD A LOT OF END CUSTOMERS ORGANICALLY COMING TO MEESHO AND BUYING FOR THEMSELVES”

SANJEEV BARNWAL CO-FOUNDER AND CTO, MEESHO